

Why Do I Need to Understand This?

As you read in the chapter on interest, you will likely be borrowing a lot of money in your lifetime. Anytime you need to borrow money for a purchase, you will open what is called a **line of credit**. Here are some common examples of lines of credit:

- **Mortgages:** borrowing money to buy a home
- **Student loans:** borrowing money to pay for school
- **Auto loans:** borrowing money to pay for a car
- **Credit cards:** borrowing money to pay for whatever you buy with a credit card

For each of these lines of credit, a person is borrowing money to pay for something. For instance, a house today may cost \$500,000. Few people, however, have \$500,000 at their disposal to purchase the house in one payment. Instead, they will pay around \$100,000 as a down payment, then borrow the remaining \$400,000 from a lender. Over the next 10, 15, 20, or most likely 30 years, the home-buyer will be paying off the \$400,000 plus interest.

Because the average American has four credit cards, it is not uncommon for a person to have 5-7 lines of credit open at one time.²³ The goal with lines of credit is to keep them manageable and never fall behind on your payments. Having lines of credit, or debt, is not necessarily a bad thing, but far too many people fall into insurmountable debt because they think “I’ll just pay it off later.” Remember, because of interest, the longer it takes for you to pay something back, the more expensive it becomes. This

²³ Matt Tatham, “A Look at U.S. Consumer Credit Card Debt,” Experian Information Solutions, Inc., November 4, 2019, <https://www.experian.com/blogs/ask-experian/state-of-credit-cards>.